ENGROSSED HOUSE
BILL NO. 4072

By: Caldwell (Trey) and Kane of the House

and

Hall and Haste of the Senate

An Act related to public finance; creating the Taxpayer Endowment Trust Fund Act; authorizing certain reference; announcing legislative intent; defining terms; creating the Taxpayer Endowment Trust Fund; establishing revolving fund characteristics; requiring interest and income be retained by the trust fund; providing for administration, management, and oversight of the trust fund; requiring certain investment standards; requiring diversification of investments and other risk management efforts; providing exception; authorizing delegation of certain authorities; limiting delegation by certain standard; defining scope of investment authority; authorizing certain actions by the State Treasurer related to employment and contracting; making efforts subject to certain approval; requiring the establishment of guidelines and investment policies; exempting certain contracting from the Oklahoma Central Purchasing Act; requiring certain written process; requiring certain administrative support be provided; limiting administrative support; authorizing certain reimbursements from certain assets; requiring investments follow a written policy including certain goals; requiring delivery of policy and modifications of such policy to certain entities following certain timelines; requiring the publishing of annual reports under manner and timelines; requiring certain elements be included in report; limiting utilization and disposition of trust fund assets; providing exceptions; requiring certain computations, communications, and deposits of distributable earnings under certain conditions; establishing timeline for certain communications and deposits; requiring certain action of the State Board of Equalization; limiting the reduction of corpus;

amending 62 O.S. 2021, Section 34.102, which relates to the Revenue Stabilization Fund; clarifying terminology associated with fund deposits; amending 62 O.S. 2021, Section 34.103, as amended by Section 1, Chapter 307, O.S.L. 2025 (62 O.S. Supp. 2025, Section 34.103), which relates to revenue certification and apportionment by the State Board of Equalization; modifying certain calculations and apportionments; amending 62 O.S. 2021, Section 71.1, as amended by Section 4, Chapter 308, O.S.L. 2025 (62 O.S. Supp. 2025, Section 71.1), which relates to the Invest in Oklahoma Board; requiring the fulfillment of certain duties; amending 62 O.S. 2021, Section 2402, as amended by Section 2, Chapter 308, O.S.L. 2025 (62 O.S. Supp. 2025, Section 2402), which relates to public entities authorized to participate in the Invest in Oklahoma Program; authorizing participation by the Taxpayer Endowment Trust Fund; modifying certain apportionments; amending 68 O.S. 2021, Section 1004, as last amended by Section 2, Chapter 490, O.S.L. 2025 (68 O.S. Supp. 2025, Section 1004), which relates to the apportionment of proceeds from the gross production tax on oil and natural gas; modifying apportionments; adding apportionments; amending 68 O.S. 2021, Section 2352, which relates to the apportionment of proceeds from the income tax on corporations; modifying apportionment and adding apportionment; providing for severability; providing for codification; providing an effective date; and declaring an emergency.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 34.102A-1 of Title 62, unless there is created a duplication in numbering, reads as follows:

A. Sections 1 through 5 of this act shall be known and may be cited as the "Taxpayer Endowment Trust Fund Act".

B. 1. The Legislature finds that Oklahoma's long-term economic growth and fiscal stability are best served by policies that promote savings, investment, and reduced reliance on income taxation.

2. The Legislature further finds that states with an abundance of energy resources that preserve and grow a portion of those revenues through investments enjoy lower taxes and budget stability.

3. Establishing a sovereign wealth fund enables states to convert public funds into a permanent financial asset that generates long-term investment income for public purposes.

4. It is therefore the intent of the Legislature to create a trust fund that produces a significant and sustainable revenue stream, preserves and protects its principal, and over time, provides taxpayer relief by replacing income tax revenue through the power of recurring investment and compounding interest.

5. The trust fund should provide a means of conserving a portion of the state's revenues, especially driven by energy resources, to benefit all generations of Oklahomans.

6. The trust fund should work in concert with efforts to reduce and eliminate income tax.

7. The trust fund's performance goal should seek market returns during the fund's growth phase lockout period.

8. After the lockout phase, the trust fund's performance goal should be to maintain safety of principal while maximizing the total return.

SECTION 2. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 34.102A-2 of Title 62, unless there is created a duplication in numbering, reads as follows:

As used in the Taxpayer Endowment Trust Fund Act:

1. "Appreciation" means any increase in the value of assets held in the Trust Fund;

2. "Board" means the Invest in Oklahoma Board as established in Section 71.1 of Title 62 of the Oklahoma Statutes, or its successor;

3. "Corpus" means the principal of the Trust Fund;

4. "Distributable earnings" means an amount that equals up to four percent (4%) of the immediately preceding five-year average fiscal-year end asset valuation of the Trust Fund, as determined by the Board;

5. "Earnings" means all income derived from the investment of monies in the Trust Fund including but not limited to income, earnings, interest, and investment returns;

6. "Trust Fund" means the Taxpayer Endowment Trust Fund;

7. "Interest" means income earned from the investment of funds in interest-bearing instruments, including but not limited to bonds, notes, and other fixed-income securities; and

8. "Initial deposit" means the first transfer of funds into the Trust Fund as provided by law.

SECTION 3. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 34.102A-3 of Title 62, unless there is created a duplication in numbering, reads as follows:

A. There is hereby created in the State Treasury a trust fund to be known and designated as the "Taxpayer Endowment Trust Fund". The members of the Invest in Oklahoma Board shall be considered trustees of the fund. The fund shall be a continuing fund, not subject to fiscal year limitations, and shall consist of all monies directed for deposit to the fund pursuant to legal transfers, apportionments, or appropriations, as well as any interest or investment income derived from such deposits. All monies accruing to the credit of the said fund are hereby appropriated and may be utilized in accordance with the provisions of the Taxpayer Endowment Trust Fund Act.

B. Notwithstanding any provision of law to the contrary, all interest and income derived from deposits to the Taxpayer Endowment Trust Fund, shall be credited to the Trust Fund.

SECTION 4. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 34.102A-4 of Title 62, unless there is created a duplication in numbering, reads as follows:

A. The Taxpayer Endowment Trust Fund shall be administered, managed, and overseen by the Invest in Oklahoma Board, with administrative assistance provided by the State Treasurer and any other individual or entity designated by the Board. The Board shall invest the assets of the Trust Fund with the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent investor acting in a like capacity and familiar with such matters would use in the conduct of an enterprise of a like character and with like aims. Additionally, the Board shall diversify the investments of the Trust Fund so as to minimize the risk of large losses, unless under the circumstances it is clearly prudent not to do so. The Board may take or delegate all actions reasonably necessary to administer, manage, and protect the Trust Fund but only in a manner that meets the standard provided in this subsection.

B. Notwithstanding the provisions of Section 89.2 of Title 62 of the Oklahoma Statutes, the Board may invest and reinvest assets of the Trust Fund in any manner not prohibited by law, including but not limited to real property assets, stock, and other equity investments.

C. Subject to Board approval, the State Treasurer shall:

1. Employ or contract for the services of professional custodians, consultants, and managers of the assets of the Trust Fund, including legal counsel as needed;

2. Establish investment and fund management guidelines; and

3. Adopt an investment policy.

D. The contracting for services described in paragraph 1 of subsection C of this section shall be exempt from the Oklahoma

Central Purchasing Act, but shall be conducted by the State Treasurer under a written process approved by the Board.

E. The State Treasurer shall provide administrative support to the Board as needed; provided such support does not exceed that of two (2) full-time equivalent employees employed by the State Treasurer.

F. The State Treasurer may seek reimbursement, and the Board may reimburse from Trust Fund assets, the expenses incurred by the State Treasurer's Office for the performance of the duties assigned by this act to the State Treasurer.

SECTION 5. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 34.102A-5 of Title 62, unless there is created a duplication in numbering, reads as follows:

A. Investments of Taxpayer Endowment Trust Fund assets by the Board shall be made in accordance with written policies developed by the Board. The written investment policies shall prioritize:

1. Generating long-term investment income for public purposes; and

2. Preserve and protect the Trust Fund's principal while maximizing the Trust Fund's total return;

The written investment policies shall be designed to maximize yield within each class of investment instrument, consistent with the safety of the assets invested.

B. 1. Not later than July 1 of each year, the Board shall forward a copy of the written investment policy to the Governor, the Speaker of the Oklahoma House of Representatives, the President Pro Tempore of the Oklahoma State Senate, and the State Treasurer. The State Treasurer shall maintain one copy of the investment policy in the Office of the State Treasurer for public inspection during regular business hours. Copies of any modifications made by the Board to the investment policy shall be forwarded to the Governor, Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the State Treasurer;

2. Not later than November 1 of each year, the Board, through the efforts of the State Treasurer, shall publish an annual report on the State Treasurer's website, including the Trust Fund's financial statements, statements of receipts and disbursements related to trust fund assets and investment activities during the period, relevant market value appraisals of assets, comparisons of Trust Fund performance to internal benchmarks, a summary of investment activity during the period, and any other information the Board deems of interest to the public.

SECTION 6. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 34.102A-6 of Title 62, unless there is created a duplication in numbering, reads as follows:

A. Except for the reimbursement of the State Treasurer as allowed under the provisions of this act, no monies of any kind, including but not limited to earnings, interest, or appreciation, shall be appropriated from the Taxpayer Endowment Trust Fund prior to:

1. The state fiscal year following an end-of-year valuation of the Trust Fund that exceeds One Billion Dollars ($1,000,000,000.00); or

2. The expiration of the ten-year period following the initial deposit to the Trust Fund.

B. Following the occurrence of a condition established in subsection A of this section, the Board shall:

1. No later than November 30 of each year, communicate to the State Board of Equalization the amount of distributable earnings available from the Trust Fund as calculated pursuant to the conditions of the Trust Fund in effect June 30 of such year. Such earnings shall be certified by the State Board of Equalization as General Revenue for the then forthcoming state fiscal year; and

2. On July 1, deposit an amount equal to the amount certified by the State Board of Equalization pursuant to paragraph 1 of this subsection to the General Revenue Fund. Such deposit shall occur July 1 of the state fiscal year for which the funds are certified.

C. Except as allowed or required by the provisions of this section the corpus of the Trust Fund shall not be reduced.

SECTION 7. AMENDATORY 62 O.S. 2021, Section 34.102, is amended to read as follows:

Section 34.102. A. There is hereby created in the State Treasury a revolving fund to be known and designated as the "Revenue Stabilization Fund". The fund shall be a continuing fund, not subject to fiscal year limitations.

B. For determinations made regarding deposits for fiscal years beginning on or after July 1, 2019, no monies shall be deposited to the credit of the Revenue Stabilization Fund until such time as the amount of actual revenue certified by the State Board of Equalization as having been deposited into the General Revenue Fund for the first fiscal year prior to the beginning of the fiscal year that deposits to the Revenue Stabilization Fund are first made equals or exceeds Six Billion Six Hundred Million Dollars ($6,600,000,000.00).

C. Once the provisions prescribed by subsection B of this section have been met, deposits to the Revenue Stabilization Fund as prescribed by this section may be made during any subsequent fiscal year according to the requirements and limitations imposed by this act; provided that no deposits shall be made during a fiscal year where the State Board of Equalization General Revenue Fund certification for said fiscal year is less than the State Board of Equalization General Revenue Fund certification for the previous fiscal year plus an increment equal to the amount otherwise calculated for deposit pursuant to subsection E of this section.

D. Notwithstanding any other provisions of this section, unless such deposits are the result of a direct appropriation to the Revenue Stabilization Fund by the Legislature, no monies shall be deposited to the credit of the Revenue Stabilization Fund:

1. For any month during a fiscal year after the month during which the declaration of a revenue failure pursuant to the provisions of Section 34.49 of this title has been made. For purposes of this subsection, the limitation on deposits to the Revenue Stabilization Fund shall be imposed for the remaining months of the fiscal year during which the revenue failure was declared, but shall not operate as a limitation upon deposits for any subsequent fiscal year unless a revenue failure is declared at some time during such fiscal year; or

2. That would cause deposits to the Revenue Stabilization Fund for the fiscal year to exceed three percent (3%) of the State Board of Equalization General Revenue Fund certification for that fiscal year.

E. Except as provided in subsection I of this section, the Revenue Stabilization Fund shall ~~consist of~~ receive as deposits:

1. ~~One hundred percent (100%)~~ Seventy-five percent (75%) of the revenue derived from the gross production tax on oil levied pursuant to Section 1001 of Title 68 of the Oklahoma Statutes which is in excess of the five-year average computed as prescribed by Section 34.103 of this title;

2. ~~One hundred percent (100%)~~ Seventy-five percent (75%) of the revenue derived from the gross production tax on natural gas levied pursuant to Section 1001 of Title 68 of the Oklahoma Statutes which is in excess of the five-year average computed as prescribed by Section 34.103 of this title;

3. Seventy-five percent (75%) of the revenue derived from corporate income tax levied pursuant to Section 2355 of Title 68 of the Oklahoma Statutes which is in excess of the five-year average computed as prescribed by Section 34.103 of this title; and

4. Any amounts appropriated by the Legislature.

F. 1. Except as provided in paragraph 2 of this subsection, in the event that a revenue failure is declared with respect to the General Revenue Fund pursuant to Section 34.49 of this title, the Director of the Office of Management and Enterprise Services may withdraw up to one-quarter (1/4) of the balance of the Revenue Stabilization Fund available at the beginning of the fiscal year, provided the total amount withdrawn shall not exceed the amount of the declared revenue failure, to in equal proportions reduce or avoid reductions to agencies for the current fiscal year and to mitigate potential reductions of funds to be expended by common school districts which were appropriated or authorized by the Legislature, but excluding any funds which are apportioned directly to common school districts.

2. For the fiscal year ending June 30, 2020, in the event that a revenue failure is declared with respect to the General Revenue Fund pursuant to Section 34.49 of this title, the Director of the Office of Management and Enterprise Services may withdraw amounts up to a total of one-half (1/2) of the highest balance during the fiscal year ending June 30, 2020, of the Revenue Stabilization Fund; provided, the total amount withdrawn shall not exceed the amount of the declared revenue failure less any appropriations made by the Legislature to offset such revenue failure, to in equal proportions reduce or avoid reductions to agencies for the fiscal year and to mitigate potential reductions of funds to be expended by common school districts which were appropriated or authorized by the Legislature for the fiscal year ending June 30, 2020, but excluding any funds which are apportioned directly to common school districts. No monies shall be withdrawn under the provisions of this subsection for the purpose of reducing or avoiding reductions of appropriations made pursuant to Section 129 of Enrolled House Bill No. 2765 of the 1st Session of the 57th Oklahoma Legislature or Section 1 of Enrolled Senate Bill No. 1076 of the 1st Session of the 57th Oklahoma Legislature.

G. In the event that a revenue failure is declared with respect to the General Revenue Fund pursuant to Section 34.49 of this title, the Legislature may appropriate up to one-quarter (1/4) of the balance of the Revenue Stabilization Fund available at the beginning of the fiscal year, not to exceed the amount of the revenue failure as declared with respect to the General Revenue Fund pursuant to Section 34.49 of this title.

H. If the amount of revenue certified by the State Board of Equalization at its February meeting in any year to be collected in the General Revenue Fund for the upcoming fiscal year is less than the amount of revenue certified by the State Board of Equalization to be collected in the General Revenue Fund for the current fiscal year as determined at its February meeting conducted in the preceding calendar year, the Legislature may appropriate up to one-half (1/2) of the balance of the Revenue Stabilization Fund available at the beginning of the fiscal year; provided, that the amount withdrawn shall not exceed the amount of the decline in revenue certified.

I. If during the Board of Equalization certification process, one or more of the revenue sources identified in paragraphs 1, 2, and 3 of subsection E of this section are forecasted to experience a revenue decrease, then the total deposits to the Revenue Stabilization Fund as otherwise calculated under subsection E of this section shall be reduced in an amount equal to such revenue decreases. For purposes of this subsection, "revenue decrease" means an identified revenue source derived in an amount less than the five-year average for such revenue source.

SECTION 8. AMENDATORY 62 O.S. 2021, Section 34.103, as amended by Section 1, Chapter 307, O.S.L. 2025 (62 O.S. Supp. 2025, Section 34.103), is amended to read as follows:

Section 34.103. A. In addition to any other duties prescribed by law, at the meeting required by Section 23 of Article X of the Oklahoma Constitution to be held in February of 2017, and at the February meeting of the State Board of Equalization each year thereafter, the State Board of Equalization shall certify:

1. For the revenue derived from the tax levied on oil pursuant to Section 1001 of Title 68 of the Oklahoma Statutes, which would otherwise be apportioned to the General Revenue Fund, the average annual amount of actual revenue apportioned to the General Revenue Fund for the immediately preceding five (5) complete fiscal years. For any year after the first year during which a deposit to the Revenue Stabilization Fund is made, the amount of any deposit to the Revenue Stabilization Fund shall be disregarded for purposes of this paragraph and the average shall be computed using the total amount of revenue that was available to be apportioned to the General Revenue Fund for the applicable period of time;

2. For the revenue derived from the tax levied on natural gas pursuant to Section 1001 of Title 68 of the Oklahoma Statutes, which would otherwise be apportioned to the General Revenue Fund, the average annual amount of actual revenue apportioned to the General Revenue Fund for the previous five (5) fiscal years. For any year

after the first year during which a deposit to the Revenue Stabilization Fund is made, the amount of any deposit to the Revenue Stabilization Fund shall be disregarded for purposes of this paragraph and the average shall be computed using the total amount of revenue that was available to be apportioned to the General Revenue Fund for the applicable period of time; and

3. For the revenue derived from the corporate income tax levied pursuant to Section 2355 of Title 68 the Oklahoma Statutes, which would otherwise be apportioned to the General Revenue Fund, the average annual amount of actual revenue apportioned to the General Revenue Fund for the previous five (5) fiscal years. For any year after the first year during which a deposit to the Revenue Stabilization Fund is made, the amount of any deposit to the Revenue Stabilization Fund shall be disregarded for purposes of this paragraph and the average shall be computed using the total amount of revenue that was available to be apportioned to the General Revenue Fund for the applicable period of time.

B. If the amount of revenue available for apportionment to the General Revenue Fund for the next ensuing fiscal year exceeds the amounts certified pursuant to paragraph 1 ~~or~~, 2, or 3 of subsection A of this section, with respect to each such revenue source, ~~one hundred percent (100%)~~ seventy-five percent (75%) of such amount in excess of the separately computed five-year average, which would otherwise be apportioned to the General Revenue Fund, shall be deposited to the credit of the Revenue Stabilization Fund.

C. If the amount of revenue available for apportionment to the General Revenue Fund for the next ensuing fiscal year exceeds the amount certified pursuant to paragraph 1, 2, or 3 of subsection A of this section~~:~~

~~1. Twenty-five percent (25%) of such amount in excess of the five-year average, which would otherwise be apportioned to the General Revenue Fund, shall be deposited to the credit of the Constitutional Reserve Fund unless such deposit would exceed the maximum balance permitted pursuant to Section 23 of Article X of the Oklahoma Constitution and in such case the amount in excess of the maximum balance shall be deposited to the credit of the Revenue Stabilization Fund; and~~

~~2. Seventy-five percent (75%) of such amount in excess of the five-year average, which would otherwise be apportioned to the General Revenue Fund, shall be deposited to the credit of the Revenue Stabilization Fund, together with any amount required for deposit pursuant to the provisions of paragraph 1 of this subsection~~, with respect to each such revenue source, twenty-five percent (25%) of such amount in excess of the separately computed five-year average, which would otherwise be apportioned to the General Revenue Fund, shall be deposited to the credit of the Taxpayer Endowment Trust Fund created by Section 3 of this act.

D. 1. As used in this subsection and as used in subsection D of Section 2355 of Title 68 of the Oklahoma Statutes:

a. "base year total collections" means the amount of revenue certified by the State Board of Equalization at its December meeting and includes all revenue sources reported in the annual report of the Oklahoma Tax Commission excluding any tax collected by the Commission from levies imposed by counties, cities, towns or any other entity of local government, which for purposes of implementation of any income tax rate reductions otherwise authorized by this act shall be the highest preceding total collections amount as defined by subparagraph b of this paragraph. For purposes of reporting total collections for purposes of this subsection, the Oklahoma Tax Commission shall use the same methodology used to report estimated revenues to the State Board of Equalization that was used to make the report for the December 2024 meeting,

b. "highest preceding total collections" means the largest amount of revenue reported for any single fiscal year prior to the immediately preceding full fiscal year, determined by the State Board of Equalization at its December meeting and including all revenue sources reported in the annual report of the

Oklahoma Tax Commission excluding any tax collected by the Commission from levies imposed by counties, cities, towns or any other entity of local government. For purposes of reporting total collections for purposes of this subsection, the Oklahoma Tax Commission shall use the same methodology used to report estimated revenues to the State Board of Equalization that was used to make the report for the December 2024 meeting,

c. "income tax rate reduction threshold" means the amount of revenue determined by the Oklahoma Tax Commission for twelve (12) months comprising a single tax year predicted to be foregone as a result of any reduction in income tax rates pursuant to the provisions of this act, including the provisions of subsection D of Section 2355 of Title 68 of the Oklahoma Statutes multiplied by the number one and twenty-five hundredths (1.25). The income tax rate reduction cost threshold shall not be less than the amount of revenue loss attributable to a reduction in the income tax rates for the previous fiscal year and shall not be greater than such revenue loss for the previous fiscal year multiplied by the number one and twenty-five hundredths (1.25), and

d. "comparison year total collections" means the amount of revenue determined by the State Board of Equalization at its December meeting for the immediately preceding fiscal year and includes all revenue sources reported in the annual report of the Oklahoma Tax Commission excluding any tax collected by the Commission from levies imposed by counties, cities, towns or any other entity of local government. For purposes of reporting total collections for purposes of this subsection, the Oklahoma Tax Commission shall use the same methodology used to report estimated revenues to the State Board of Equalization that was used to make the report for the December 2024 meeting.

2. In addition to any other duties prescribed by law, at the meeting required by Section 23 of Article X of the Oklahoma Constitution to be held in December of 2026, and at the December meeting of the State Board of Equalization each year thereafter, the State Board of Equalization shall make a preliminary certification:

a. and report the base year total collections, the income tax rate reduction threshold, and the comparison year total collections,

b. if the comparison year total collections amount exceeds the base year total collections amount plus the income tax reduction cost threshold, the tax rates otherwise prescribed pursuant to subsection D of Section 2355 of Title 68 of the Oklahoma Statutes shall be reduced according to the provisions of Section 2355 of Title 68 of the Oklahoma Statutes and any reduction in such rates shall become effective on the January 1 date following the final February certification by the State Board of Equalization that an income tax rate reduction is authorized by the provisions of this act, and

c. with respect to all subsequent meetings of the Board, the Board shall make a preliminary finding at its December meeting each year and, if the requirements of this act are fulfilled, the State Board shall make a final determination at its February meeting each year whether the comparison year total collections exceeds the base year total collections plus the income tax reduction cost threshold, and a reduction in the income tax rates otherwise prescribed pursuant to paragraphs 1 and 2 of subsection D of Section 2355 of Title 68 of the Oklahoma Statutes shall be implemented and any reduction in such rates shall become effective on the January 1 date following the final February certification by the State Board of Equalization that an income tax rate reduction is authorized by the provisions of this act.

3. In addition to any other requirements of this act for the implementation of a reduction of individual income tax rates pursuant to this subsection and pursuant to subsection E of Section 2355 of Title 68 of the Oklahoma Statutes, at the State Board of Equalization meeting to be held in December 2026, the State Board must certify that the revenues accruing to certified funds during the first five and one-half (5 1/2) months of fiscal year ending June 30, 2027, were within ninety-five percent (95%) of the estimate made in February 2026, and no revenue failure was declared.

SECTION 9. AMENDATORY 62 O.S. 2021, Section 71.1, as amended by Section 4, Chapter 308, O.S.L. 2025 (62 O.S. Supp. 2025, Section 71.1), is amended to read as follows:

Section 71.1. A. There is hereby created the Invest in Oklahoma Board. The Board shall consist of five (5) members as follows:

1. The Governor, or designee;

2. The Lieutenant Governor, or designee;

3. The State Treasurer, or designee;

4. An appointee of the Speaker of the House of Representatives who shall serve at the Speaker's pleasure; and

5. An appointee of the President Pro Tempore of the Oklahoma State Senate who shall serve at the President Pro Tempore's pleasure.

B. The appointed and designated members shall have no direct or indirect business relationship with the State Treasurer or the State Treasurer's Office.

C. The Governor or Governor's designee shall serve as chairperson.

D. The Board shall hold regular meetings not less than one per quarter, and at such other times as it deems necessary for the performance of its duties. The date, time and place of the meetings shall be set by the chairperson. The State Treasurer shall provide the administrative support required by the Board. The Board shall be staffed by efforts under the control of the State Treasurer who shall prepare all materials and information needed by the Board to perform its duties and responsibilities. Meetings of the Board shall be subject to the Oklahoma Open Meeting Act, and their records shall be public records pursuant to the Oklahoma Open Records Act.

E. The Board shall develop a standardized and uniform reporting system which the State Treasurer shall use to make the reports required by Section 89.7 of this title. The Board shall prescribe such forms in order to obtain an objective and accurate analysis of the investment of state funds by the State Treasurer and to obtain an accurate analysis of investment performance according to an objective standard established by the Board. The Board shall not be subject to the provisions of the Administrative Procedures Act for purposes of developing the reporting system required by this subsection. The Board shall review the reports prepared by the State Treasurer pursuant to Section 89.7 of this title. The Board shall review with the State Treasurer investment strategies and practices and the development of internal auditing procedures and practices. The Board shall review the reports submitted by the State Treasurer and shall identify any event, transaction or trend which the Board determines to represent a violation or potential violation of law or public policy regarding the investment of state funds. The Board shall specifically identify its concerns or objections and shall communicate such concerns or objections in writing to the State Treasurer.

F. The State Treasurer shall maintain a report available to each member of the Board which specifically identifies entities with whom or with which the State Treasurer has transacted business related to investment of any state funds. Any person or entity to whom or to which any form of compensation has been or will be paid for services rendered to the State Treasurer's Office related to the investment of state funds shall be identified in such report. Such report shall also be available to the Director of the Office of Management and Enterprise Services, the State Auditor and Inspector, the Speaker of the House of Representatives, the President Pro Tempore of the Senate and the Governor.

G. Members of the Board shall serve without compensation, except for travel, pursuant to the State Travel Reimbursement Act, to be paid by the appointing authority.

H. The Board shall establish and adopt investment parameters related to investments in Oklahoma-based private equity funds, venture capital funds, growth funds, and direct investments in Oklahoma companies authorized under the Invest in Oklahoma program; provided that by a unanimous vote of the Board such parameters may be exceeded with regard to investments to the extent allowable under the Oklahoma Constitution.

I. The Board shall exercise confirmation and approval authority over the appointment and contractual relationships of qualified investment advisors and fiduciary managers engaged by the State Treasurer to assist in the selection of the investments authorized under the Invest in Oklahoma program.

K. The Board shall fulfill the duties assigned to the Board pursuant to the Taxpayer Endowment Trust Fund Act.

SECTION 10. AMENDATORY 62 O.S. 2021, Section 2402, as amended by Section 2, Chapter 308, O.S.L. 2025 (62 O.S. Supp. 2025, Section 2402), is amended to read as follows:

Section 2402. The following public entities are encouraged to and may invest up to five percent (5%) of their rolling three (3) year assets under management with the Invest In Oklahoma Program approved venture capital and growth funds as provided in Section 2 of this act:

1. The Board of Investors of the Tobacco Settlement Endowment Trust Fund;

2. The Commissioners of the Land Office;

3. The Teachers' Retirement System of Oklahoma;

4. The Oklahoma Public Employees Retirement System;

5. The Oklahoma Firefighters Pension and Retirement System;

6. The Oklahoma Police Pension and Retirement System;

7. The Oklahoma Law Enforcement Retirement System;

8. The Uniform Retirement System for Justices and Judges; ~~and~~

9. The Department of Wildlife Conservation Retirement Fund; and

10. The Taxpayer Endowment Trust Fund.

B. The State Treasurer, acting within parameters established by the Invest in Oklahoma Board is authorized to and may place cash balance amounts in service with the Invest In Oklahoma program. For purposes of this subsection, the term "cash balance amounts" shall not include any monies deposited in or directed for deposit to:

1. The General Revenue Fund;

2. The Revenue Stabilization Fund;

3. The Education Reform Revolving Fund;

4. The Rate Preservation Fund;

5. Any Fund created under the Oklahoma Constitution;

6. Any fund from which the Legislature through law has authorized, appropriated, or transferred monies within the preceding three (3) fiscal years; or

7. Any revolving fund in the State Treasury specified for direct appropriation or authorization from the Legislature, or any revolving fund assigned to a state agency, unless such state agency specifically authorizes such investments from such fund and such authorization was approved by Invest in Oklahoma Board.

SECTION 11. AMENDATORY 68 O.S. 2021, Section 1004, as last amended by Section 2, Chapter 490, O.S.L. 2025 (68 O.S. Supp. 2025, Section 1004), is amended to read as follows:

Section 1004. A. As used in this section:

1. "Moving five-year average amount for gas" means, for purposes of the apportionments prescribed by this section, the amount of gross production tax on natural gas collected for each of the five (5) complete fiscal years, as computed by the State Board of Equalization pursuant to Section 34.103 of Title 62 of the Oklahoma Statutes; and

2. "Moving five-year average amount for oil" means, for purposes of the apportionments prescribed by this section, the amount of gross production tax on oil collected for each of the five (5) complete fiscal years, as computed by the State Board of Equalization pursuant to Section 34.103 of Title 62 of the Oklahoma Statutes.

B. Beginning July 1, 2017, the gross production tax provided for in Section 1001 of this title is hereby levied and shall be collected and apportioned as follows:

1. For all monies collected from the tax levied on asphalt or ores bearing uranium, lead, zinc, jack, gold, silver or copper:

a. eighty-five and seventy-two one-hundredths percent (85.72%) shall be paid to the State Treasurer of the state to be placed in the General Revenue Fund of the state and used for the general expense of state government, to be paid out pursuant to direct appropriation by the Legislature,

b. seven and fourteen one-hundredths percent (7.14%) of the sum collected from natural gas and/or casinghead gas or asphalt or ores bearing uranium, lead, zinc, jack, gold, silver or copper shall be paid to the various county treasurers to be credited to the County Highway Fund as follows: Each county shall receive a proportionate share of the funds available based upon the proportion of the total value of production from such county in the corresponding month of the preceding year, and

c. seven and fourteen one-hundredths percent (7.14%) shall be allocated to each county as provided for in subparagraph b of this paragraph and shall be apportioned, on an average daily attendance per capita distribution basis, as certified by the State Superintendent of Public Instruction to the school districts of the county where such pupils attend school regardless of residence of such pupil, provided the school district makes an ad valorem tax levy of fifteen (15) mills for the current year and maintains twelve (12) years of instruction;

2. For all monies collected from the tax levied on natural gas and/or casinghead gas at a tax rate of seven percent (7%) pursuant to the provisions of subsection B of Section 1001 of this title:

a. after the total revenue apportioned to the General Revenue Fund as prescribed by subparagraph b of this paragraph equals the moving five-year average amount for gas as defined by paragraph 1 of subsection A of this section, there shall be apportioned from the gross production tax levy imposed pursuant to Section 1001 of this title on natural gas and/or casinghead gas<u>:</u>

<u>(1)</u> <u>seventy-five percent (75%)</u> to the Revenue Stabilization Fund created by Section 34.102 of Title 62 of the Oklahoma Statutes, the amount of revenue, if any, which exceeds the moving five-year average amount for gas as defined pursuant

to paragraph 1 of subsection A of this section, and

(2) twenty-five percent (25%) to the Taxpayer Endowment Trust Fund created by Section 3 of this act, the amount of revenue, if any, which exceeds the moving five-year average amount for gas as defined pursuant to paragraph 1 of subsection A of this section,

b. until the apportionment to the General Revenue Fund equals the moving five-year average amount for gas as prescribed by paragraph 1 of subsection A of this section, eighty-five and seventy-two one-hundredths percent (85.72%) shall be paid to the State Treasurer of the state to be placed in the General Revenue Fund of the state and used for the general expense of state government, to be paid out pursuant to direct appropriation by the Legislature,

c. before any other apportionment of revenue has been made pursuant to this paragraph, seven and fourteen one-hundredths percent (7.14%) of the sum collected from natural gas and/or casinghead gas shall be paid to the various county treasurers to be credited to the County Highway Fund as follows: Each county shall receive a proportionate share of the funds available based upon the proportion of the total value of production from such county in the corresponding month of the preceding year, and

d. before any other apportionment of revenue has been made pursuant to this paragraph, seven and fourteen one-hundredths percent (7.14%) shall be allocated to each county as provided for in subparagraph c of this paragraph and shall be apportioned, on an average daily attendance per capita distribution basis, as certified by the State Superintendent of Public Instruction to the school districts of the county where such pupils attend school regardless of residence of such pupil, provided the school district makes an ad valorem tax levy of fifteen (15) mills for the current year and maintains twelve (12) years of instruction;

3. For all monies collected from the tax levied on natural gas and/or casinghead gas at a tax rate of four percent (4%) pursuant to the provisions of subsection B of Section 1001 of this title:

a. after the total revenue apportioned to the General Revenue Fund as prescribed by subparagraph b of this paragraph equals the moving five-year average amount for gas as defined by paragraph 1 of subsection A of this section, there shall be apportioned from the gross production tax levy imposed pursuant to Section 1001 of this title on natural gas and/or casinghead gas:

(1) seventy-five percent (75%) to the Revenue Stabilization Fund created pursuant to Section 34.102 of Title 62 of the Oklahoma Statutes, the amount of revenue, if any, which exceeds the moving five-year average amount for gas as defined pursuant to paragraph 1 of subsection A of this section, and

(2) twenty-five percent (25%) to the Taxpayer Endowment Trust Fund created by Section 3 of this act, the amount of revenue, if any, which exceeds the moving five-year average amount for gas as defined pursuant to paragraph 1 of subsection A of this section,

b. until the apportionment to the General Revenue Fund equals the moving five-year average amount for gas as prescribed by paragraph 1 of subsection A of this section, seventy-five percent (75%) shall be paid to the State Treasurer of the state to be placed in the General Revenue Fund of the state and used for the general expense of state government, to be paid out pursuant to direct appropriation by the Legislature,

c. before any other apportionment of revenue has been made pursuant to this paragraph, twelve and one-half percent (12.5%) of the sum collected from natural gas and/or casinghead gas shall be paid to the various county treasurers to be credited to the County Highway Fund as follows: Each county shall receive a proportionate share of the funds available based upon the proportion of the total value of production from such county in the corresponding month of the preceding year, and

d. before any other apportionment of revenue has been made pursuant to this paragraph, twelve and one-half percent (12.5%) shall be allocated to each county as provided for in subparagraph c of this paragraph and shall be apportioned, on an average daily attendance per capita distribution basis, as certified by the State Superintendent of Public Instruction to the school districts of the county where such pupils attend school regardless of residence of such pupil, provided the school district makes an ad valorem tax levy of fifteen (15) mills for the current year and maintains twelve (12) years of instruction;

4. For all monies collected from the tax levied on natural gas and/or casinghead gas at a tax rate of one percent (1%) pursuant to the provisions of subsection B of Section 1001 of this title:

a. fifty percent (50%) of the sum collected from natural gas and/or casinghead gas shall be paid to the various county treasurers to be credited to the County Highway Fund as follows: Each county shall receive a proportionate share of the funds available based upon the proportion of the total value of production from such county in the corresponding month of the preceding year, and

b. fifty percent (50%) shall be allocated to each county as provided for in subparagraph a of this paragraph and shall be apportioned, on an average daily attendance per capita distribution basis, as certified by the State Superintendent of Public Instruction to the school districts of the county where such pupils attend school regardless of residence of such pupil, provided the school district makes an ad valorem tax levy of fifteen (15) mills for the current year and maintains twelve (12) years of instruction;

5. For all monies collected from the tax levied on natural gas and/or casinghead gas at a tax rate of two percent (2%) pursuant to

the provisions of paragraph 3 of subsection B of Section 1001 of this title:

a. after the total revenue apportioned to the General Revenue Fund as prescribed by subparagraph b of this paragraph equals the moving five-year average amount for gas as defined by paragraph 1 of subsection A of this section, there shall be apportioned from the gross production tax levy imposed pursuant to Section 1001 of this title on gas:

(1) seventy-five percent (75%) to the Revenue Stabilization Fund created by Section 34.102 of Title 62 of the Oklahoma Statutes, the amount of revenue, if any, which exceeds the moving five-year average amount for natural gas and/or casinghead gas as defined pursuant to paragraph 1 of subsection A of this section, and

(2) twenty-five percent (25%) to the Taxpayer Endowment Trust Fund created by Section 3 of this act, the amount of revenue, if any, which exceeds the moving five-year average amount for natural gas and/or casinghead gas as defined pursuant to paragraph 1 of subsection A of this section,

b. until the apportionment to the General Revenue Fund equals the moving five-year average amount for gas as prescribed by paragraph 1 of subsection A of this section, fifty percent (50%) shall be paid to the State Treasurer to be placed in the General Revenue Fund of the state and used for the general expense of state government, to be paid out pursuant to direct appropriation by the Legislature,

c. before any other apportionment of revenue has been made pursuant to this paragraph, twenty-five percent (25%) of the sum collected from natural gas and/or casinghead gas shall be paid to the various county treasurers to be credited to the County Highway Fund as follows: Each county shall receive a proportionate share of the funds available based upon the proportion of the total value of production from such county in the corresponding month of the preceding year, and

d. before any other apportionment of revenue has been made pursuant to this paragraph, twenty-five percent (25%) shall be allocated to each county as provided for in subparagraph c of this paragraph and shall be apportioned on an average daily attendance per capita distribution basis, as certified by the State Superintendent of Public Instruction, to the school districts of the county where such pupils attend school regardless of residence of such pupil, provided the school district makes an ad valorem tax levy of fifteen (15) mills for the current year and maintains twelve (12) years of instruction;

6. For all monies collected from the tax levied on oil at a tax rate of seven percent (7%) pursuant to the provisions of subsection B of Section 1001 of this title:

a. there shall be apportioned from the gross production tax levy imposed pursuant to Section 1001 of this title on oil:

(1) seventy-five percent (75%) to the Revenue Stabilization Fund created by Section 34.102 of Title 62 of the Oklahoma Statutes, after the applicable maximum amount prescribed by subsection C of this section has been deposited to the funds therein specified, the amount of revenue, if any, which would otherwise be apportioned to the General Revenue Fund and which exceeds the moving five-year average amount for oil as defined pursuant to paragraph 2 of subsection A of this section, and

(2) twenty-five percent (25%) to the Taxpayer Endowment Trust Fund created by Section 3 of this act, after the applicable maximum amount prescribed by subsection C of this section has

been deposited to the funds therein specified, the amount of revenue, if any, which would otherwise be apportioned to the General Revenue Fund and which exceeds the moving five-year average amount for oil as defined pursuant to paragraph 2 of subsection A of this section,

b. before any other apportionment of revenue has been made pursuant to this paragraph, twenty-five and seventy-two one-hundredths percent (25.72%) shall be paid to the State Treasurer to be placed in the Common Education Technology Revolving Fund created in Section 34.90 of Title 62 of the Oklahoma Statutes,

c. before any other apportionment of revenue has been made pursuant to this paragraph, twenty-five and seventy-two one-hundredths percent (25.72%) shall be paid to the State Treasurer to be placed in the Higher Education Capital Revolving Fund created in Section 34.91 of Title 62 of the Oklahoma Statutes,

d. before any other apportionment of revenue has been made pursuant to this paragraph, twenty-five and seventy-two one-hundredths percent (25.72%) shall be paid to the State Treasurer to be placed in the Oklahoma Student Aid Revolving Fund created in Section 34.92 of Title 62 of the Oklahoma Statutes,

e. before any other apportionment of revenue has been made pursuant to this paragraph, three and seven hundred forty-five one-thousandths percent (3.745%) shall be distributed to the various counties of the state for deposit into the County Bridge and Road Improvement Fund of each county based on a formula developed by the Department of Transportation and approved by the Department of Transportation County Advisory Board created pursuant to Section 302.1 of Title 69 of the Oklahoma Statutes to be used for the purposes set forth in the County Bridge and Road Improvement Act. The formula shall be similar to the formula currently used for the distribution of monies in the County Bridge Program funds, but shall also take into consideration the effect of the terrain and traffic volume as related to county road improvement and maintenance costs,

f. before any other apportionment of revenue has been made pursuant to this paragraph, four and twenty-eight one-hundredths percent (4.28%) shall be paid to the State Treasurer to be apportioned to:

(1) the following sources and in the following amounts through the fiscal year ending June 30, 2027:

(a) thirty-three and one-third percent (33 1/3%) to the Oklahoma Tourism and Recreation Department Capital Expenditure Revolving Fund created pursuant to Section 2254.1 of Title 74 of the Oklahoma Statutes,

(b) thirty-three and one-third percent (33 1/3%) to the Oklahoma Conservation Commission Infrastructure Revolving Fund created pursuant to Section 3-2-110 of Title 27A of the Oklahoma Statutes, and

(c) thirty-three and one-third percent (33 1/3%) to the Community Water Infrastructure Development Revolving Fund created pursuant to Section 1085.7A of Title 82 of the Oklahoma Statutes, and

(2) the Oklahoma Water Resources Board Rural Economic Action Plan Water Projects Fund for the fiscal year beginning July 1, 2027, and for each fiscal year thereafter,

g. before any other apportionment of revenue has been made pursuant to this paragraph, seven and fourteen one-hundredths percent (7.14%) of the sum collected from oil shall be paid to the various county treasurers, to be credited to the County Highway Fund as follows: Each county shall receive a proportionate share of the funds available based upon the proportion of the total value of production from such county in the corresponding month of the preceding year,

h. before any other apportionment of revenue has been made pursuant to this paragraph, seven and fourteen one-hundredths percent (7.14%) shall be allocated to each county as provided in subparagraph g of this paragraph and shall be apportioned, on an average daily attendance per capita distribution basis, as certified by the State Superintendent of Public Instruction, to the school districts of the county where such pupils attend school regardless of residence of such pupil, provided the school district makes an ad valorem tax levy of fifteen (15) mills for the current year and maintains twelve (12) years of instruction, and

i. before any other apportionment of revenue has been made pursuant to this paragraph, five hundred thirty-five one-thousandths percent (0.535%) of the levy shall be transmitted by the Oklahoma Tax Commission to the Statewide Circuit Engineering District Revolving Fund as created in Section 687.2 of Title 69 of the Oklahoma Statutes;

7. For all monies collected from the tax levied on oil at a tax rate of four percent (4%) pursuant to the provisions of subsection B of Section 1001 of this title:

a. there shall be apportioned from the gross production tax levy imposed pursuant to Section 1001 of this title on oil:

(1) seventy-five percent (75%) to the Revenue Stabilization Fund created by Section 34.102 of Title 62 of the Oklahoma Statutes, after the applicable maximum amount prescribed by subsection C of this section has been deposited to the funds therein specified, the amount of revenue, if any, which would otherwise be apportioned to the General Revenue Fund and which exceeds the moving five-year average amount for oil as defined pursuant to paragraph 2 of subsection A of this section, and

(2) twenty-five percent (25%) to the Taxpayer Endowment Trust Fund created by Section 3 of this act, after the applicable maximum amount prescribed by subsection C of this section has been deposited to the funds therein specified, the amount of revenue, if any, which would otherwise be apportioned to the General Revenue

<u>Fund and which exceeds the moving five-year average amount for oil as defined pursuant to paragraph 2 of subsection A of this section,</u>

b. before any other apportionment of revenue has been made pursuant to this paragraph, twenty-two and one-half percent (22.5%) shall be paid to the State Treasurer to be placed in the Common Education Technology Revolving Fund created in Section 34.90 of Title 62 of the Oklahoma Statutes,

c. before any other apportionment of revenue has been made pursuant to this paragraph, twenty-two and one-half percent (22.5%) shall be paid to the State Treasurer to be placed in the Higher Education Capital Revolving Fund created in Section 34.91 of Title 62 of the Oklahoma Statutes,

d. before any other apportionment of revenue has been made pursuant to this paragraph, twenty-two and one-half percent (22.5%) shall be paid to the State Treasurer to be placed in the Oklahoma Student Aid Revolving Fund created in Section 34.92 of Title 62 of the Oklahoma Statutes,

e. before any other apportionment of revenue has been made pursuant to this paragraph, three and twenty-eight one-hundredths percent (3.28%) shall be distributed to the various counties of the state for deposit into the County Bridge and Road Improvement Fund of each county based on a formula developed by the Department of Transportation and approved by the Department of Transportation County Advisory Board created pursuant to Section 302.1 of Title 69 of the Oklahoma Statutes to be used for the purposes set forth in the County Bridge and Road Improvement Act. The formula shall be similar to the formula currently used for the distribution of monies in the County Bridge Program funds, but shall also take into consideration the effect of the terrain and traffic volume as related to county road improvement and maintenance costs,

f. before any other apportionment of revenue has been made pursuant to this paragraph, three and seventy-five one-hundredths percent (3.75%) shall be paid to the State Treasurer to be apportioned to:

(1) the following sources and in the following amounts through the fiscal year ending June 30, 2027:

(a) thirty-three and one-third percent (33 1/3%) to the Oklahoma Tourism and Recreation Department Capital Expenditure Revolving

Fund created pursuant to Section 2254.1 of Title 74 of the Oklahoma Statutes,

(b) thirty-three and one-third percent (33 1/3%) to the Oklahoma Conservation Commission Infrastructure Revolving Fund created pursuant to Section 3-2-110 of Title 27A of the Oklahoma Statutes, and

(c) thirty-three and one-third percent (33 1/3%) to the Community Water Infrastructure Development Revolving Fund created pursuant to Section 1085.7A of Title 82 of the Oklahoma Statutes, and

(2) the Oklahoma Water Resources Board Rural Economic Action Plan Water Projects Fund for the fiscal year beginning July 1, 2027, and for each fiscal year thereafter,

g. before any other apportionment of revenue has been made pursuant to this paragraph, twelve and one-half percent (12.5%) of the sum collected from oil shall be paid to the various county treasurers, to be credited to the County Highway Fund as follows: Each county shall receive a proportionate share of the funds available based upon the proportion of the total value of production from such county in the corresponding month of the preceding year,

h. before any other apportionment of revenue has been made pursuant to this paragraph, twelve and one-half percent (12.5%) shall be allocated to each county as provided in subparagraph g of this paragraph and shall be apportioned on an average daily attendance per capita distribution basis, as certified by the State Superintendent of Public Instruction, to the school districts of the county where such pupils attend school regardless of residence of such pupil, provided the school district makes an ad valorem tax levy of fifteen (15) mills for the current year and maintains twelve (12) years of instruction, and

i. before any other apportionment of revenue has been made pursuant to this paragraph, forty-seven one-hundredths percent (0.47%) of the levy shall be transmitted by the Tax Commission to the Statewide Circuit Engineering District Revolving Fund as created in Section 687.2 of Title 69 of the Oklahoma Statutes;

8. For all monies collected from the tax levied on oil at a tax rate of one percent (1%) pursuant to the provisions of subsection B of Section 1001 of this title:

a. fifty percent (50%) of the sum collected shall be paid to the various county treasurers, to be credited to the County Highway Fund as follows: Each county shall receive a proportionate share of the funds available based upon the proportion of the total value of production from such county in the corresponding month of the preceding year, and

b. fifty percent (50%) shall be allocated to each county as provided for in subparagraph a of this paragraph and shall be apportioned on an average daily attendance per capita distribution basis, as certified by the State Superintendent of Public Instruction, to the school districts of the county where such pupils attend school regardless of residence of such pupil, provided the school district makes an ad valorem tax levy of fifteen (15) mills for the current year and maintains twelve (12) years of instruction;

9. For all monies collected from the tax levied on oil at a tax rate of two percent (2%) pursuant to the provisions of paragraph 3 of subsection B of Section 1001 of this title:

a. there shall be apportioned from the gross production tax levy imposed pursuant to Section 1001 of this title on oil:

(1) seventy-five percent (75%) to the Revenue Stabilization Fund created by Section 34.102 of Title 62 of the Oklahoma Statutes, the amount of revenue, if any, which exceeds the moving five-year average amount for oil as defined pursuant to paragraph 2 of subsection A of this section, and

(2) twenty-five percent (25%) to the Taxpayer Endowment Trust Fund created by Section 3 of this act, the amount of revenue, if any, which exceeds the moving five-year average amount for oil as defined pursuant to paragraph 2 of subsection A of this section,

b. until the apportionment to the General Revenue Fund equals the moving five-year average amount for oil as prescribed by paragraph 2 of subsection A of this section, fifty percent (50%) shall be paid to the State Treasurer to be placed in the General Revenue Fund of the state and used for the general expense of state government, to be paid out pursuant to direct appropriation by the Legislature,

c. before any other apportionment of revenue has been made pursuant to this paragraph, twenty-five percent (25%) of the sum collected from oil shall be paid to the various county treasurers, to be credited to the County Highway Fund as follows: Each county shall receive a proportionate share of the funds available based upon the proportion of the total value of production from such county in the corresponding month of the preceding year, and

d. before any other apportionment of revenue has been made pursuant to this paragraph, twenty-five percent (25%) shall be allocated to each county as provided in subparagraph c of this paragraph and shall be apportioned on an average daily attendance per capita distribution basis, as certified by the State Superintendent of Public Instruction, to the school districts of the county where such pupils attend school regardless of residence of such pupil, provided the school district makes an ad valorem tax levy of fifteen (15) mills for the current year and maintains twelve (12) years of instruction;

10. On or after June 28, 2018 and before July 1, 2025, the gross production tax levied on natural gas or casinghead gas at the rate of five percent (5%) provided for in paragraph 3 of subsection B of Section 1001 of this title shall be apportioned as follows:

a. after the total revenue apportioned to the General Revenue Fund as prescribed by subparagraph b of this paragraph equals the moving five-year average amount for gas as defined by paragraph 1 of subsection A of this section, there shall be apportioned from the gross production tax levy imposed pursuant to Section 1001 of this title on natural gas and/or casinghead gas:

(1) seventy-five percent (75%) to the Revenue Stabilization Fund created pursuant to Section 34.102 of Title 62 of the Oklahoma Statutes, the amount of revenue, if any, which exceeds the moving five-year average amount for gas as defined pursuant to paragraph 1 of subsection A of this section, and

(2) twenty-five percent (25%) to the Taxpayer Endowment Trust Fund created by Section 3 of this act, the amount of revenue, if any, which exceeds the moving five-year average amount for gas as defined pursuant to paragraph 1 of subsection A of this section,

b. until the apportionment to the General Revenue Fund equals the moving five-year average amount for gas as prescribed by paragraph 1 of subsection A of this section, eighty percent (80%) shall be paid to the State Treasurer of the state to be placed in the

General Revenue Fund of the state and used for the general expense of state government, to be paid out pursuant to direct appropriation by the Legislature,

c. before any other apportionment of revenue has been made pursuant to this paragraph, ten percent (10%) of the sum collected from natural gas and/or casinghead gas shall be paid to the various county treasurers to be credited to the County Highway Fund as follows: Each county shall receive a proportionate share of the funds available based upon the proportion of the total value of production from such county in the corresponding month of the preceding year,

d. before any other apportionment of revenue has been made pursuant to this paragraph, ten percent (10%) shall be allocated to each county as provided for in subparagraph c of this paragraph and shall be apportioned, on an average daily attendance per capita distribution basis, as certified by the State Superintendent of Public Instruction to the school districts of the county where such pupils attend school regardless of residence of such pupil, provided the school district makes an ad valorem tax levy of fifteen (15) mills for the current year and maintains twelve (12) years of instruction;

11. Beginning July 1, 2025, the gross production tax levied on natural gas or casinghead gas at the rate of five percent (5%) provided for in paragraph 3 of subsection B of Section 1001 of this title shall be apportioned as follows:

a. after the total revenue apportioned to the General Revenue Fund as prescribed by subparagraph b of this paragraph equals the moving five-year average amount for gas as defined by paragraph 1 of subsection A of this section, there shall be apportioned from the gross production tax levy imposed pursuant to Section 1001 of this title on natural gas and/or casinghead gas:

(1) seventy-five percent (75%) to the Revenue Stabilization Fund created pursuant to Section 34.102 of Title 62 of the Oklahoma Statutes, the amount of revenue, if any, which exceeds the moving five-year average amount for gas as defined pursuant to paragraph 1 of subsection A of this section, and

(2) twenty-five percent (25%) to the Taxpayer Endowment Trust Fund created by Section 3 of this act, the amount of revenue, if any, which exceeds the moving five-year average amount for gas as

<u>defined pursuant to paragraph 1 of subsection A of this section,</u>

b. until the apportionment to the General Revenue Fund equals the moving five-year average amount for gas as prescribed by paragraph 1 of subsection A of this section, forty percent (40%) shall be paid to the State Treasurer of the state to be placed in the General Revenue Fund of the state and used for the general expense of state government, to be paid out pursuant to direct appropriation by the Legislature,

c. before any other apportionment of revenue has been made pursuant to this paragraph, ten percent (10%) of the sum collected from natural gas and/or casinghead gas shall be paid to the various county treasurers to be credited to the County Highway Fund as follows: Each county shall receive a proportionate share of the funds available based upon the proportion of the total value of production from such county in the corresponding month of the preceding year,

d. before any other apportionment of revenue has been made pursuant to this paragraph, ten percent (10%) shall be allocated to each county as provided for in subparagraph c of this paragraph and shall be apportioned, on an average daily attendance per capita distribution basis, as certified by the State Superintendent of Public Instruction to the school districts of the county where such pupils attend school regardless of residence of such pupil, provided the school district makes an ad valorem tax levy of fifteen (15) mills for the current year and maintains twelve (12) years of instruction, and

e. before any other apportionment of revenue has been made pursuant to this paragraph, forty percent (40%) shall be remitted to the State Treasurer to be credited to the Preserving and Advancing County Transportation Fund created in Section ~~1~~ 508 of ~~this act~~ Title 69 of the Oklahoma Statutes, but in no event shall the total amount apportioned in any fiscal year pursuant to this subparagraph exceed Seventy-five Million Dollars ($75,000,000.00). Any amounts in excess of Seventy-five Million Dollars ($75,000,000.00) shall be placed in the General Revenue Fund of the state and used for the general expense of state government, to be paid out pursuant to direct appropriation by the Legislature; and

12. On or after June 28, 2018, the gross production tax on oil levied at the rate of five percent (5%) provided for in paragraph 3

of subsection B of Section 1001 of this title shall be apportioned as follows:

a. there shall be apportioned from the gross production tax levy imposed pursuant to Section 1001 of this title on oil:

(1) seventy-five percent (75%) to the Revenue Stabilization Fund created by Section 34.102 of Title 62 of the Oklahoma Statutes, after the applicable maximum amount prescribed by subsection C of this section has been deposited to the funds therein specified, the amount of revenue, if any, which would otherwise be apportioned to the General Revenue Fund and which exceeds the moving five-year average amount for oil as defined pursuant to paragraph 2 of subsection A of this section, and

(2) twenty-five percent (25%) to the Taxpayer Endowment Trust Fund created by Section 3 of this act, after the applicable maximum amount prescribed by subsection C of this section has been deposited to the funds therein specified, the amount of revenue, if any, which would otherwise be apportioned to the General Revenue Fund and which exceeds the moving five-year

<u>average amount for oil as defined pursuant to paragraph 2 of subsection A of this section,</u>

b. before any other apportionment of revenue has been made pursuant to this paragraph, twenty-three and seventy-five one-hundredths percent (23.75%) shall be paid to the State Treasurer to be placed in the Common Education Technology Revolving Fund created in Section 34.90 of Title 62 of the Oklahoma Statutes,

c. before any other apportionment of revenue has been made pursuant to this paragraph, twenty-three and seventy-five one-hundredths percent (23.75%) shall be paid to the State Treasurer to be placed in the Higher Education Capital Revolving Fund created in Section 34.91 of Title 62 of the Oklahoma Statutes,

d. before any other apportionment of revenue has been made pursuant to this paragraph, twenty-three and seventy-five one-hundredths percent (23.75%) shall be paid to the State Treasurer to be placed in the Oklahoma Student Aid Revolving Fund created in Section 34.92 of Title 62 of the Oklahoma Statutes,

e. before any other apportionment of revenue has been made pursuant to this paragraph, three and twenty-eight one-hundredths percent (3.28%) shall be distributed to the various counties of the state for deposit into the County Bridge and Road Improvement Fund of each county based on a formula developed by the Department of Transportation and approved by the Department of Transportation County Advisory Board created pursuant to Section 302.1 of Title 69 of the Oklahoma Statutes to be used for the purposes set forth in the County Bridge and Road Improvement Act. The formula shall be similar to the formula currently used for the distribution of monies in the County Bridge Program funds, but shall also take into consideration the effect of the terrain and traffic volume as related to county road improvement and maintenance costs,

f. before any other apportionment of revenue has been made pursuant to this paragraph, five percent (5%) shall be paid to the State Treasurer to be apportioned to:

(1) the following sources and in the following amounts through the fiscal year ending June 30, 2027:

(a) thirty-three and one-third percent (33 1/3%) to the Oklahoma Tourism and Recreation Department Capital Expenditure Revolving

Fund created pursuant to Section 2254.1 of Title 74 of the Oklahoma Statutes,

(b) thirty-three and one-third percent (33 1/3%) to the Oklahoma Conservation Commission Infrastructure Revolving Fund created pursuant to Section 3-2-110 of Title 27A of the Oklahoma Statutes, and

(c) thirty-three and one-third percent (33 1/3%) to the Community Water Infrastructure Development Revolving Fund created pursuant to Section 1085.7A of Title 82 of the Oklahoma Statutes, and

(2) the Oklahoma Water Resources Board Rural Economic Action Plan Water Projects Fund for the fiscal year beginning July 1, 2027, and for each fiscal year thereafter,

g. before any other apportionment of revenue has been made pursuant to this paragraph, ten percent (10%) of the sum collected from oil shall be paid to the various county treasurers, to be credited to the County Highway Fund as follows: Each county shall receive a proportionate share of the funds available based upon the proportion of the total value of production from such county in the corresponding month of the preceding year,

h. before any other apportionment of revenue has been made pursuant to this paragraph, ten percent (10%) shall be allocated to each county as provided in subparagraph g of this paragraph and shall be apportioned on an average daily attendance per capita distribution basis, as certified by the State Superintendent of Public Instruction, to the school districts of the county where such pupils attend school regardless of residence of such pupil, provided the school district makes an ad valorem tax levy of fifteen (15) mills for the current year and maintains twelve (12) years of instruction, and

i. before any other apportionment of revenue has been made pursuant to this paragraph, forty-seven one-hundredths percent (0.47%) of the levy shall be transmitted by the Tax Commission to the Statewide Circuit Engineering District Revolving Fund as created in Section 687.2 of Title 69 of the Oklahoma Statutes.

C. Provided, notwithstanding any other provision of this section, the total amounts deposited to the Common Education Technology Revolving Fund, the Higher Education Capital Revolving Fund, the Oklahoma Student Aid Revolving Fund, the Rural Economic

Action Plan Water Projects Fund, the Oklahoma Tourism and Recreation Department Capital Expenditure Revolving Fund, the Oklahoma Conservation Commission Infrastructure Revolving Fund and the Community Water Infrastructure Development Revolving Fund pursuant to paragraphs 6, 7 and 11 of subsection B of this section shall not exceed One Hundred Fifty Million Dollars ($150,000,000.00) in any fiscal year. Except as otherwise provided in this subsection, all sums in excess of One Hundred Fifty Million Dollars ($150,000,000.00) in any fiscal year which would otherwise be deposited in such funds shall be apportioned by the Oklahoma Tax Commission to the General Revenue Fund of the state.

SECTION 12. AMENDATORY 68 O.S. 2021, Section 2352, is amended to read as follows:

Section 2352. It is hereby declared to be the purpose of Section 2351 et seq. of this title to provide revenue for general governmental functions of state government; and, for that purpose and to that end, it is expressly declared that the revenue derived herefrom and penalties and interest thereon, subject to the apportionment requirements for the Rebuilding Oklahoma Access and Driver Safety Fund, the Oklahoma Tourism and Passenger Rail Revolving Fund, the Public Transit Revolving Fund and the Education Reform Revolving Fund to be derived from income tax revenue that would otherwise be apportioned to the General Revenue Fund as provided by Section 1521 of Title 69 of the Oklahoma Statutes, subject to the apportionment requirements for the Oklahoma Tax Commission and Office of Management and Enterprise Services Joint Computer Enhancement Fund provided by Section 265 of this title, and subject to the apportionment requirements for the Oklahoma State Capitol Building Repair and Restoration Fund provided by Section 19 of Title 73 of the Oklahoma Statutes, shall be distributed as follows:

1. For the fiscal year beginning July 1, 2002, the first Five Million Eight Hundred Thousand Dollars ($5,800,000.00) of revenue derived pursuant to the provisions of subsections A, B and E of Section 2355 of this title shall be apportioned to the Education Reform Revolving Fund. The remainder of such revenue for the fiscal year beginning July 1, 2002, and all such revenue for each fiscal year thereafter shall be apportioned monthly as follows:

a. the following amounts shall be paid to the State Treasurer to be placed to the credit of the General Revenue Fund of the state for such fiscal year for the support of the state government to be paid out only pursuant to appropriation by the Legislature:

Fiscal Year	Amount
FY 2003 and FY 2004	87.12%
FY 2005	86.91%
FY 2006	86.66%
FY 2007	86.16%

FY 2008 through FY 2022	85.66%
FY 2023 through FY 2027	85.41%
FY 2028 and each fiscal year thereafter	85.66%

Of the funds apportioned to the General Revenue Fund pursuant to this subparagraph, until the expiration of the Filmed in Oklahoma Act of 2021 as provided in Section 11 of this act, Thirty Million Dollars ($30,000,000.00) shall be transferred to the Oklahoma Tax Commission for deposit in the Filmed in Oklahoma Program Revolving Fund,

b. the following amounts shall be paid to the State Treasurer to be placed to the credit of the Education Reform Revolving Fund of the State Department of Education:

(1) for FY 2003 through FY 2020, eight and thirty-four one-hundredths percent (8.34%),

(2) for FY 2021:

(a) for the month beginning July 1, 2020, through the month ending August 31, 2020, eight and thirty-four one-hundredths percent (8.34%), and

(b) for the month beginning September 1, 2020, through the month ending June 30, 2021, nine and eighty-four one-hundredths percent (9.84%),

(3) for FY 2022 and each fiscal year thereafter, eight and thirty-four one-hundredths percent (8.34%) shall be paid to the State Treasurer to be placed to the credit of the Education Reform Revolving Fund,

c. the following amounts shall be paid to the State Treasurer to be placed to the credit of the Teachers' Retirement System Dedicated Revenue Revolving Fund:

Fiscal Year	Amount
FY 2003 and FY 2004	3.54%
FY 2005	3.75%
FY 2006	4.0%
FY 2007	4.5%
FY 2008 through FY 2020	5.0%
FY 2021:	
(1) for the month beginning July 1, 2020, through the month ending August 31, 2020	5.0%
(2) for the month beginning September 1, 2020,	

through the month ending June 30, 2021	3.5%
FY 2022	5.0%
FY 2023 through FY 2027	5.25%
FY 2028 and each fiscal year thereafter	5.0%

d. for FY 2003 and each fiscal year thereafter, one percent (1%) shall be placed to the credit of the Ad Valorem Reimbursement Fund;

2. Beginning July 1, 2003, for any period of time as certified by the Oklahoma Development Finance Authority and the Oklahoma Department of Commerce to be necessary for the repayment of obligations issued by the Oklahoma Development Finance Authority pursuant to Section 3654 of this title if the other sources of revenue paid to or apportioned to the Quality Jobs Program Incentive Leverage Fund are not adequate including the proceeds from payment pursuant to the guaranty required by subsection M of Section 3654 of this title, an amount certified by the Oklahoma Development Finance Authority to the Oklahoma Tax Commission shall be apportioned to the Quality Jobs Program Incentive Leverage Fund before any other apportionments are made as otherwise authorized by this paragraph. The Oklahoma Development Finance Authority shall certify to the Oklahoma Tax Commission the time as of which the revenue authorized for apportionment pursuant to this paragraph is no longer required.

After the certification, the revenue derived from the income tax shall be apportioned in the manner otherwise provided by this section. Except as otherwise provided by this paragraph, for the fiscal year beginning July 1, 2002, the first Forty-one Million One Hundred Ninety Thousand Eight Hundred Dollars ($41,190,800.00) of revenue derived pursuant to the provisions of subsections D and E of Section 2355 of this title shall be apportioned to the Education Reform Revolving Fund. The remainder of such revenue for the fiscal year beginning July 1, 2002, and all such revenue for each fiscal year thereafter, subject to the apportionment requirements for the Oklahoma Tax Commission and Office of Management and Enterprise Services Joint Computer Enhancement Fund provided by Section 265 of this title, shall be apportioned monthly as follows:

a. the following amounts shall be paid to the State Treasurer to be placed to the credit of the General Revenue Fund of the state for such fiscal year for the support of the state government to be paid out only pursuant to appropriation by the Legislature:

Fiscal Year	Amount
FY 2003 and FY 2004	78.96%
FY 2005	78.75%
FY 2006	78.50%
FY 2007	78.0%

(1)	(a)	FY 2018 through FY 2022 until the apportionment to the General Revenue Fund equals the moving five-year average amount for corporate income tax as prescribed by paragraph 3 of this section	77.50%
	(b)	FY 2023 through FY 2027 until the apportionment to the General Revenue Fund equals the moving five-year average amount for corporate income tax as prescribed by paragraph 3 of this section	77.25%
	(c)	FY 2028 and each fiscal year thereafter until the apportionment to the General Revenue Fund equals the moving five-year average amount for corporate income tax as	

prescribed by paragraph 3 of this section 77.50%

(2) there shall be apportioned from the tax levy imposed on corporate income tax:

(a) seventy-five percent (75%) to the Revenue Stabilization Fund created by Section 34.102 of Title 62 of the Oklahoma Statutes, ~~or to the Constitutional Reserve Fund, as provided by Section 34.102 of Title 62 of the Oklahoma Statutes,~~ of the amount of revenue, if any, which exceeds the moving five-year average amount as defined pursuant to paragraph 3 of this section, and

(b) twenty-five percent (25%) to the Taxpayer Endowment Trust Fund created by Section 3 of this act, of the amount of revenue, if any, which exceeds the moving five-year average amount as defined pursuant to paragraph 3 of this section,

b. the following amounts shall be paid to the State Treasurer to be placed to the credit of the Education Reform Revolving Fund of the State Department of Education:

(1) for FY 2003 through FY 2020, sixteen and five-tenths percent (16.5%),

(2) for FY 2021:

(a) for the month beginning July 1, 2020, through the month ending August 31, 2020, sixteen and five-tenths percent (16.5%), and

(b) for the month beginning September 1, 2020, through the month ending June 30, 2021, eighteen percent (18%),

(3) for FY 2022, and each fiscal year thereafter, sixteen and five-tenths percent (16.5%),

c. the following amounts shall be paid to the State Treasurer to be placed to the credit of the Teachers' Retirement System Dedicated Revenue Revolving Fund:

Fiscal Year	Amount
FY 2003 and FY 2004	3.54%
FY 2005	3.75%
FY 2006	4.0%
FY 2007	4.5%
FY 2008 through FY 2020	5.0%
FY 2021:	
(1) for the month beginning July 1, 2020, through	

the month ending August 31, 2020 | 5.0%

(2) for the month beginning September 1, 2020, through the month ending June 30, 2021 | 3.5%

FY 2022 | 5.0%

FY 2023 through FY 2027 | 5.25%

FY 2028 and each fiscal year thereafter | 5.0%

d. for FY 2003 and each fiscal year thereafter, one percent (1%) shall be placed to the credit of the Ad Valorem Reimbursement Fund; and

3. "Moving five-year average for corporate income tax" means, for purposes of the apportionments prescribed by this section, the amount of income tax on corporations, as determined by the State Board of Equalization in the manner prescribed by Section 34.103 of Title 62 of the Oklahoma Statutes.

SECTION 13. The provisions of this act are severable and if any part or provision shall be held void the decision of the court so holding shall not affect or impair any of the remaining parts or provisions of this act.

SECTION 14. This act shall become effective July 1, 2026.

SECTION 15. It being immediately necessary for the preservation of the public peace, health or safety, an emergency is hereby declared to exist, by reason whereof this act shall take effect and be in full force from and after its passage and approval.

Passed the House of Representatives the 14th day of April, 2026.

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Presiding Officer of the House
of Representatives

Passed the Senate the _____ day of __________, 2026.

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Presiding Officer of the Senate